



MEMORANDUM

TO: The Honorable Mayor Patrick Collins and City of Cheyenne Council Members
FROM: Robin Lockman, City Treasurer
DATE: August 19, 2024
SUBJECT: Reappropriation to be considered for approval

On August 26, 2024, the Governing Body will be referring a resolution to the Finance Committee to reappropriate funds for the Fiscal Year (FY) 2024 City of Cheyenne Budget per W.S. § 16-4-112 and 16-4-113. More information is detailed below regarding this final FY 2024 reappropriation request.

GENERAL FUND RESERVES REQUEST

The following General Fund reserve requests are included for your consideration:

Vacation and Sick Leave Accrual Payouts for Terminated Employees

Throughout FY 2024, sick and vacation accrual leave balances were paid out once an employee terminated their employment with the City. Generally, accrual payouts are not budgeted for unless a retirement is anticipated. If the position is replaced immediately, the budget is usually not enough to cover the accrual payout. I am requesting a total increase of \$280,973 from reserves to cover these expenses.

Increase in Natural Gas and Electricity and Fleet Fuel, Labor, and Parts Costs

The City Treasurer's office estimates natural gas and electricity costs for City facilities during the annual budgeting process using historical information and price trends. As a result, departments are not allowed to use the utility budgets approved by Council for any other purpose. However, they also are not required to cover their utility budget shortcomings. Therefore, I am requesting \$34,639 from General Fund reserves to cover any shortages.

Additionally, the City's expenditures for fleet fuel, labor and parts have exceeded the approved FY 2024 budget for several General Fund departments. These budgets are handled the same way as utility costs. As a result, I am requesting an increase of \$205,796 from General Fund reserves to cover this budget shortfall.

Vandalism/Theft Expenses

Parks, Clean and Safe, Aquatics, and Facilities Maintenance Divisions have been forced to pay for unforeseen vandalism and theft expenses to City assets throughout the fiscal year. These expenses were not budgeted for, as it is difficult to estimate these types of costs when the budget is initially prepared. I am requesting an increase of \$49,455 from reserves to cover these costs.

Insurance Claims

Repair costs due to accidents are unpredictable; therefore, when the budget is initially prepared each year, I do not forecast the City's portion of loss claims. Instead, I choose to handle these expenditures through a budget reappropriation at the end of the fiscal year. The City is responsible for a \$5,000 deductible, plus a possible member surcharge, depending on the damage amount per loss. Any accident under \$5,000 must be covered by the City in full.

I am requesting a total of \$86,871 in reserves to pay for repair expenses comprised of the following departments:

- Public Works - \$53,542
- Police - \$22,261, and
- Community Recreation and Events - \$11,068

Information on each incident is included below:

Public Works Department

- A citizen ran into the Artist Guild Building, fence and dumpster in August 2022. The insurance company depreciated certain items and did not agree with the estimates obtained. The amount not reimbursed by insurance was \$4,117. (Claim 4220CH)
- There was flood damage at the Depot Plaza Operations Building. Repairs were below the deductible. The expense to the City was \$1,705. (Claim 4740CH)
- A non-insured citizen ran into the Artist Guild in September 2023. A property claim was filed with the Wyoming Association of Risk Management (WARM). The insurance company depreciated certain items and did not agree with the estimates obtained. The amount not reimbursed by insurance is \$42,720. (Claim 4743CH)
- The City filed a property claim with WARM for an employee who caused an accident. The City's cost was the \$5,000 deductible. (Claim 4749CH)

Police Department

- A citizen caused an accident. The insurance company would not respond to Risk Management. WARM was able to recover a portion of the repair costs. Repairs paid for by the City were \$2,039. (Claim 5118CH)

- An employee was at fault for an accident and repairs were below the deductible limit at a cost of \$4,623. (Claim 4708CH)
- An employee was at fault for an accident and a property claim was filed with WARM. The deductible was \$5,000. (Claim 4845CH)
- An employee hit a dog with his vehicle. Repairs were below the deductible at \$2,174. (Claim 4942CH)
- An employee noticed that the bumper on his vehicle had fallen off. Repairs cost \$578. (Claim 5036CH)
- An employee's vehicle slid into the curb and had to be towed. The only cost was the towing fee of \$100. (Claim 5047CH)
- An employee had an accident and repairs were below the deductible. The repairs were \$2,747. (Claim 5065CH)
- An employee had an accident, and a property claim was filed with WARM. The City's cost was the \$5,000 deductible. (Claim 5118CH)

Community Recreation and Events Department

- A citizen was involved in an accident with City property. This incident was a hit and run and the individual was not found by the Cheyenne Police Department. The City was responsible for the \$5,000 deductible. (Claim 4308CH)
- A citizen hit a City fence with his vehicle. The insurance company stated that the citizen did not have coverage at the time of the incident and the City has been unable to recover the repair cost. The repairs were \$1,050. (Claim 4100CH)
- A citizen hit the Lakeview Cemetery fence. The restitution agreement with the citizen was deferred to the City Attorney's Office. The repairs were \$1,715. (Claim 4671CH)
- The Nellie Tayloe Ross statue base required repairs. Parks paid for the repairs in the amount of \$696. There was no incident report filed or Risk Management claim number issued.
- An employee was at fault for an accident and repairs were below the deductible. The repairs were \$2,607.

Compliance Department Vehicle Purchases

Mayor Collins approved the purchase of three used vehicles for newly hired building inspector staff as the department's fleet was not adequate to support their job duties. The purchase of three mid-sized SUVs cost a total of \$100,702. I am requesting this amount from General Fund reserves to cover the expense.

Public Works Maintenance

The Facilities Maintenance Division had unforeseen building maintenance expenses as a result of several emergency sewer repairs, emergency lighting repairs in the Spiker parking garage, the

replacement of the fire alarm system at the Pioneer Park Center, re-piping of the HVAC system at Fire headquarters, construction of a doorway in the Mayor's office, replacement of the Depot operations building floor, replacement of the City Clerk's office window, and additional general maintenance of the newly acquired BEAST facility and the Activity Center. I am requesting an additional \$76,420 to cover this shortfall.

GENERAL FUND NEW REVENUE REQUEST

Last year a new governmental accounting rule was promulgated by the Governmental Accounting Standards Board (GASB) that requires the City to determine the true cost and value of subscription-based information technology (IT) services, or SBITAs such as software subscriptions. GASB 96 was created to provide clear guidelines for accounting and financial reporting of SBITAs, which are essentially contracts where a government pays to use an IT service or software for a period of time, similar to leasing an asset. This includes the City's OpenGov, New World, and Microsoft subscriptions, among others. If the SBITA meets the criteria, we are required to amortize them, or expense them, over the contract term. Please note that this expense does not come from reserves, but rather an increase in revenue in an equal amount. This is an accounting entry, and no cash is involved. As a result of this rule, I am proposing to add \$760,719 to the budget.

OTHER FUNDS – NEW REVENUE AND RESERVES REQUESTS

Recreation Programs Fund

- \$17,932 from additional sponsorship revenue received to pay for Fridays on the Plaza expenses.
- \$29,881 from Recreation Programs Fund reserves to pay for additional contracted professional services at the new gymnastics' facility and \$22,076 for maintenance expenses at the BEAST facility.
- \$13,785 from additional Superday revenues to pay for costs of the event.
- \$13,303 from additional concessions revenue to pay for inventory and other expenses.
- \$14,148 from increased Botanic Gardens revenue to pay for credit card charges, maintenance and garden supplies as well as gift shop and Grab and Go inventory.

One Percent Sales Tax Fund

- \$3,408 from One Percent Fund reserves to pay for increased Forestry right-of-way operating costs.

Law Enforcement Fund

- \$4,188 in new FY19 Project Safe Neighborhood Grant revenue to pay for overtime expenses.

Miscellaneous Federal Grant Fund

- \$9,642 in additional FY21 SAFER Grant revenue to pay for firefighter payroll expenses.
- \$6,710 in additional FY24 EPA CPRG Planning Grant revenue for the Sustainability Specialist salary expenses.

Special Purpose Option Tax (SPOT) Fund

- \$170,142 to pay for costs related to the third-floor buildout at the Public Safety Center from 2012 ballot overages.
- \$1,171,499 to pay for City road project expenses from the 2021 ballot.

Miscellaneous Agency Fund

- \$1,352 to pay for events through the employee fund.
- \$408,048 to pay for additional greenway project expenses.
- \$10,599 to cover increased WARM training fund expenses.
- \$2,726 for additional conference and special events expenses.

Perpetual Care Fund

- \$33,377 for interest revenue that was transferred to the General Fund.

As always, if you have any questions, please give me a call at 637-6336.

RESOLUTION NO. _____

ENTITLED: "A RESOLUTION RE-APPROPRIATING THE FISCAL YEAR 2024 BUDGET OF THE CITY OF CHEYENNE ACCORDING TO THE PROVISIONS OF W.S. §§ 16-4-112 & 16-4-113."

BE IT RESOLVED BY THE GOVERNING BODY OF THE CITY OF CHEYENNE, WYOMING:
That the Municipal Budget of the City of Cheyenne for Fiscal Year 2024 be re-appropriated as follows:

	BUDGET	INCREASE/DECREASE	REVISED
City Council	\$ 397,113	\$ -	\$ 397,113
Mayor	3,484,843	35,153	3,519,996
Compliance	4,219,754	124,308	4,344,062
City Clerk	839,108	-	839,108
Public Works	5,455,071	256,785	5,711,856
Police	17,983,004	162,735	18,145,740
Fire	13,881,242	127,897	14,009,140
Community Recreation and Events	9,622,794	121,241	9,744,035
City Engineer	1,936,702	-	1,936,702
City Treasurer	1,068,464	235	1,068,699
Planning and Development	1,454,908	7,103	1,462,010
Miscellaneous	13,717,138	760,719	14,477,857
TOTAL GENERAL FUND	\$ 74,060,139	\$ 1,596,178	\$ 75,656,317
Weed and Pest	\$ 713,280	\$ -	\$ 713,280
Local and State Grants	3,904,695	-	3,904,695
Youth Alternatives Grants	954,608	-	954,608
Recreation Programs	2,739,249	111,124	2,850,374
Belvoir Recreation Fund	750,000	-	750,000
Surface Water Management	6,028,882	-	6,028,882
Community Development Block Grant	866,039	-	866,039
Real Property Revolving	-	-	-
Law Enforcement Grants	818,184	4,188	822,372
Federal Grants	12,905,848	16,353	12,922,201
Transportation Planning	1,090,961	-	1,090,961
Transit	3,943,360	-	3,943,360
Juvenile Justice	173,485	-	173,485
Special Friends	92,510	-	92,510
Annexation Improvements	44,313	-	44,313
Housing Loans	175,000	-	175,000
Miscellaneous Agency Funds	469,702	422,725	892,427
TOTAL SPECIAL REVENUE FUNDS	\$ 35,670,116	\$ 554,390	\$ 36,224,506
Development Impact Fees	\$ 2,434,592	\$ -	\$ 2,434,592
One Percent Sales Tax	67,779,157	3,408	67,782,566
Specific Purpose Option Tax	22,943,946	1,341,642	24,285,588
Youth Activities/Ropes	19,207	-	19,207
Golf Facilities	463,634	-	463,634
TOTAL CAPITAL PROJECTS FUNDS	\$ 93,640,537	\$ 1,345,050	\$ 94,985,587
Solid Waste Management	\$ 20,701,108	\$ -	\$ 20,701,108
Fleet Maintenance	6,499,679	-	6,499,679
Civic Center	2,625,795	-	2,625,795
Ice & Events Center	1,073,233	-	1,073,233
TOTAL PROPRIETARY FUNDS	\$ 30,899,815	\$ -	\$ 30,899,815
Perpetual Care	\$ 27,400	\$ 33,394	\$ 60,794
TOTAL PERMANENT FUND	\$ 27,400	\$ 33,394	\$ 60,794
General Fiduciary Fund	\$ 26,253	\$ -	\$ 26,253
Self Insurance Fiduciary Fund	9,499,383	-	9,499,383
TOTAL FIDUCIARY FUND	\$ 9,525,636	\$ -	\$ 9,525,636
TOTAL CITY	\$ 243,823,644	\$ 3,529,013	\$ 247,352,656
Water Enterprise	\$ 60,308,750	\$ -	\$ 60,308,750
Sewer Enterprise	22,524,200	-	22,524,200
TOTAL BOARD OF PUBLIC UTILITIES	\$ 82,832,950	\$ -	\$ 82,832,950
TOTAL APPROPRIATIONS	\$ 326,656,595	\$ 3,529,013	\$ 330,185,607

REVENUE SOURCE	REVISED	INCREASE/DECREASE	REVISED
Taxes and Special Assessments	\$ 16,107,500	\$ -	\$ 16,107,500
Intergovernmental	41,133,793	-	41,133,793
Fines and Forfeits	756,600	-	756,600
Licenses and Permits	2,575,895	-	2,575,895
Charges for Services	1,861,000	-	1,861,000
Miscellaneous	1,382,205	761,321	2,143,526
Interest	417,029	-	417,029
Transfers	859,219	-	859,219
Grants	600,000	-	600,000
Revenue from Reserves	8,366,899	834,857	9,201,756
TOTAL GENERAL FUND	\$ 74,060,139	\$ 1,596,178	\$ 75,656,317
Weed and Pest	\$ 713,280	\$ -	\$ 713,280
Local and State Grants	3,904,695	-	3,904,695
Youth Alternatives Grants	954,608	-	954,608
Recreation Programs	2,739,249	111,124	2,850,374
Belvoir Recreation Fund	750,000	-	750,000
Surface Water Management	6,028,882	-	6,028,882
Community Development Block Grant	866,039	-	866,039
Real Property Revolving	-	-	-
Law Enforcement Grants	818,184	4,188	822,372
Federal Grants	12,905,848	16,353	12,922,201
Transportation Planning	1,090,961	-	1,090,961
Transit	3,943,360	-	3,943,360
Juvenile Justice	173,485	-	173,485
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TOTAL SPECIAL REVENUE FUNDS	\$ 35,670,116	\$ 554,390	\$ 36,224,506
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Youth Activities/Ropes	19,207	-	19,207
Golf Facilities	463,634	-	463,634
TOTAL CAPITAL PROJECTS FUNDS	\$ 93,640,537	\$ 1,345,050	\$ 94,985,587
Solid Waste Management	\$ 20,701,108	\$ -	\$ 20,701,108
Fleet Maintenance	6,499,679	-	6,499,679
Civic Center	2,625,795	-	2,625,795
Ice & Events Center	1,073,233	-	1,073,233
TOTAL PROPRIETARY FUNDS	\$ 30,899,815	\$ -	\$ 30,899,815
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Self Insurance Fiduciary Fund	\$ 9,499,383	-	9,499,383
TOTAL FIDUCIARY FUND	\$ 9,525,636	\$ -	\$ 9,525,636
TOTAL CITY	\$ 243,823,644	\$ 3,529,013	\$ 247,352,656
Water Enterprise	\$ 60,308,750	\$ -	\$ 60,308,750
Sewer Enterprise	22,524,200	-	22,524,200
TOTAL BOARD OF PUBLIC UTILITIES	\$ 82,832,950	\$ -	\$ 82,832,950
TOTAL REVENUES	\$ 326,656,595	\$ 3,529,013	\$ 330,185,607

The sources of revenue increasing (decreasing) the budget of the General Fund are:		
New Revenues	\$	761,321
Reserves		834,857
Total General Fund	\$	1,596,178

PRESENTED, READ AND ADOPTED this _____ day of _____, 2024

PATRICK COLLINS, MAYOR

(seal)

ATTEST:

KRISTINA F. JONES, CITY CLERK

CITY OF CHEYENNE
FY 2024 BUDGET REAPPROPRIATION - SUMMARY
To be approved at the August 26, 2024 Council Meeting

GENERAL FUND	Source of Funds:			
	Carryover Reserves	Additional Revenue	Department Transfers	Total
Mayor Department				
• Termination Accrual Payouts	\$ 33,599	\$ -	\$ -	\$ 33,599
• Increased Fleet Fuel, Labor and Parts Expenses	953	-	-	953
• Bike to Work Day Donation	-	602	-	602
Compliance Department				
• Termination Accrual Payouts	16,853	-	-	16,853
• Increased Fleet Fuel, Labor and Parts Expenses	6,753	-	-	6,753
• New Vehicles Purchase	100,702	-	-	100,702
Public Works Department				
• Increased Facilities Maintenance Costs	76,420	-	-	76,420
• Increased Fleet Fuel, Labor and Parts Expenses	116,251	-	-	116,251
• Vandalism/Theft Expenses	10,571	-	-	10,571
• Non-Insured Loss Expenses	53,542	-	-	53,542
Police Department				
• Termination Accrual Payouts	119,267	-	-	119,267
• Increased Fleet Fuel, Labor and Parts Expenses	21,209	-	-	21,209
• Non-Insured Loss Expenses	22,262	-	-	22,262
Fire Department				-
• Termination Accrual Payouts	98,096	-	-	98,096
• Increased Fleet Fuel, Labor and Parts Expenses	29,373	-	-	29,373
• Higher Natural Gas and Electricity Costs	428	-	-	428
Community Recreation & Events Department				
• Termination Accrual Payouts	5,840	-	-	5,840
• Increased Fleet Fuel, Labor and Parts Expenses	31,239	-	-	31,239
• Vandalism/Theft Expenses	38,883	-	-	38,883
• Higher Natural Gas and Electricity Costs	34,211	-	-	34,211
• Non-Insured Loss Expenses	11,067	-	-	11,067
City Treasurer Department				
• Termination Accrual Payouts	235	-	-	235
Planning & Development Department				
• Termination Accrual Payouts	7,083	-	-	7,083
• Increased Fleet Fuel, Labor and Parts Expenses	20	-	-	20
Miscellaneous Department				
• GASB 96 Subscription Based IT services	-	760,719	-	760,719
TOTAL GENERAL FUND	\$ 834,857	\$ 761,321	\$ -	\$ 1,596,178

SPECIAL REVENUE FUNDS	Source of Funds:			
	Carryover Reserves	Additional Revenue	Department Transfers	Total
Recreation Fund 014				
• Depot Plaza revenue increase	\$ -	\$ 17,932	\$ -	\$ 17,932
• Increased costs for Gymnastics Facility and BEAST Facility	51,957	-	-	51,957
• Superday revenue increase	-	13,785	-	13,785
• Concessions revenue increase	-	13,303	-	13,303
• Botanic Gardens revenue increase	-	14,148	-	14,148

SPECIAL REVENUE FUNDS (cont'd)	Source of Funds:			
	Carryover Reserves	Additional Revenue	Department Transfers	Total
Law Enforcement Grant Fund 024				
• Additional Grant Revenues	-	4,188	-	4,188
Miscellaneous Federal Grant Fund 025				
• Additional Grant Revenues	-	16,353	-	16,353
Miscellaneous Agency Funds 210				
• Carryover Reserves	422,725	-	-	422,725
TOTAL SPECIAL REVENUE FUNDS	\$ 474,682	\$ 79,708	\$ -	\$ 554,390

CAPITAL PROJECTS FUNDS	Source of Funds:			
	Carryover Reserves	Additional Revenue	Department Transfers	Total
One Percent Sales Tax Fund 020				
• Increased Right-of-Way Operating Costs for Forestry	\$ 3,408	\$ -	\$ -	\$ 3,408
Special Purpose Option Tax 2012 & 2017 Ballots				
• 2012 Ballot - Public Safety Center 3rd Floor	-	170,142	-	170,142
Special Purpose Option Tax 2021 Ballot				
• 2021 Ballot - City Roads Project	-	1,171,499	-	1,171,499
TOTAL CAPITAL PROJECT FUNDS	\$ 3,408	\$ 1,341,642	\$ -	\$ 1,345,050

PERMANENT FUNDS	Source of Funds:			
	Carryover Reserves	Additional Revenue	Department Transfers	Total
Cemetery Perpetual Fund 220				
• Transfer of Interest Revenue to General Fund	\$ 33,394	\$ -	\$ -	\$ 33,394
TOTAL PERMANENT FUNDS	\$ 33,394	\$ -	\$ -	\$ 33,394
TOTAL CITY FUNDS	\$ 1,346,341	\$ 2,182,671	\$ -	\$ 3,529,013
BOARD OF PUBLIC UTILITIES INCREASE	\$ -	\$ -	\$ -	\$ -
TOTAL REAPPROPRIATION				\$ 3,529,013

GENERAL FUND RESERVES SUMMARY	
General Fund Unrestricted Reserve Use Request	\$ 834,857
Total General Fund Reserve Use Request	\$ 834,857